

Big Picture First (Very Important)

There are only **two real strategy families** in trading:

1. **Mean Reversion**
2. **Trend Following / Momentum**

Every indicator you listed exists to answer **one of three questions**:

- Is price **extended**?
- Is the market **trending or ranging**?
- Is volatility **safe or dangerous**?

ArchAngelX does NOT invent new strategies.

It **layers these answers together** and then applies a **grid execution engine** on top.

Indicator 1: RSI (Relative Strength Index)

What RSI actually measures

RSI measures **velocity of price movement**, not value.

- High RSI → price moved up too fast recently
- Low RSI → price moved down too fast recently

It does NOT say “overbought forever.”

It says “stretched relative to recent history.”

Core RSI Strategy Archetypes

1) RSI Mean Reversion (Classic)

Logic

- Buy when RSI is low (oversold)
- Sell when RSI is high (overbought)
- Expect price to snap back to the mean

Typical Parameters

- RSI(14)
- Buy < 30, Sell > 70
- Timeframes: M15–H1

Where it works

- Ranging markets
- Low to moderate volatility
- Sessions with liquidity but no strong trend

Where it fails

- Strong trends (RSI stays pinned)
- News-driven momentum

Common Instruments

- EURUSD, AUDUSD
- ES in chop
- Gold in Asia session

ArchAngelX mapping

- RSI = entry trigger
- Grid = adds as price keeps stretching
- TP = mean reversion to average price

This is the **default grid logic** most people unknowingly deploy.

2) RSI Trend Pullback (Advanced)

Logic

- Trade **with** the trend
- RSI pullbacks (e.g. 40–50 in uptrend)
- Enter continuation, not reversal

Typical Parameters

- RSI(14)
- Buy pullbacks > 40 in uptrend
- Sell pullbacks < 60 in downtrend

Where it works

- Trending markets
- Medium volatility
- Strong directional bias

Where it fails

- Flat chop
- Fake breakouts

Common Instruments

- NQ during tech bull runs
- ES during sustained macro trends

ArchAngelX mapping

- EMA/ADX define trend
 - RSI is NOT extreme, but controlled pullback
 - Grid becomes shallow or unnecessary
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Indicator 2: Bollinger Bands (BB)

What BB actually measures

Bollinger Bands measure **statistical deviation** from a moving average.

They answer:

“How far away from normal is price, given current volatility?”

Core Bollinger Strategies

1) Bollinger Mean Reversion (Touch-and-Fade)

Logic

- Price touches outer band
- Fade back toward middle band (VWAP-like behavior)

Parameters

- BB(20, 2)
- Timeframes: M15–H1

Where it works

- Ranges
- Volatility compression
- Overnight / lunch sessions

Where it fails

- Breakouts
- Volatility expansion

Instruments

- EURUSD
- ES during lunch
- Gold in Asia

ArchAngelX mapping

- BB = permission filter
- RSI often confirms
- Grid amplifies reversion

This is one of the **highest win-rate but lowest expectancy** strategies if unmanaged. Grid increases expectancy but raises tail risk.

2) Bollinger Breakout / Avoid Extreme

Logic

- Do NOT fade band touches
- Trade only when price is inside bands
- Avoid entering into momentum extremes

Where it works

- Trending regimes
- Volatility expansion

ArchAngelX mapping

- BB Mode = “Avoid Extreme”
- Prevents grid initiation at worst locations

This is a **defensive filter**, not an entry system.

Indicator 3: EMA (Exponential Moving Average)

What EMA actually measures

EMA measures **directional bias and structure**.

It answers:

“Is the market structurally going up, down, or nowhere?”

Core EMA Strategies

1) EMA Trend Following

Logic

- Only trade in direction of EMA alignment
- Price above fast/mid/slow EMAs = uptrend

Where it works

- Sustained trends
- Index futures
- Strong macro environments

Where it fails

- Chop
- Mean-reverting FX ranges

Instruments

- NQ
- ES
- DAX

ArchAngelX mapping

- EMA Trend Rule = trade with trend only
- Prevents counter-trend grids

2) EMA Mean Reversion (Advanced, risky)

Logic

- Fade price when it stretches too far from EMA
- Expect snap-back

Where it works

- Strong liquidity
- No news
- Tight risk controls

Where it fails

- Trend acceleration

ArchAngelX

- Dangerous unless combined with ADX low
- Often source of blow-ups if misused

Indicator 4: ADX (Average Directional Index)

What ADX actually measures

ADX measures **trend strength**, not direction.

It answers:

“Is this market directional or rotational?”

Core ADX Uses

1) Range Filter (ADX Low)

Logic

- $ADX < 20-25 \rightarrow$ market is ranging
- Enable mean reversion strategies

Where it works

- FX majors
- Index chop
- Overnight sessions

ArchAngelX mapping

- Allows grid activation
 - Enables BB + RSI strategies
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2) Trend Filter (ADX High)

Logic

- $ADX > 25-30 \rightarrow$ market trending
- Disable mean reversion
- Trade breakouts or pullbacks

ArchAngelX mapping

- Blocks grid starts
- Or forces trend-only behavior

ADX is the **most important survival filter** for grid EAs.

Indicator 5: ATR (Average True Range)

What ATR actually measures

ATR measures **volatility magnitude**, not direction.

It answers:

“How big are the candles relative to recent history?”

ATR Strategy Roles

1) Volatility Scaling (Adaptive Parameters)

Logic

- In high volatility → widen stops, steps, TPs
- In low volatility → tighten parameters

Where it works

- Futures
- Instruments with regime shifts

ArchAngelX mapping

- ATR for pip values
 - Dynamic grid spacing
 - Dynamic TP/SL
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2) Volatility Regime Filter (Implicit)

Logic

- If ATR explodes → disable certain strategies

ArchAngelX

- ATR indirectly controls how fast grids expand
 - Misuse leads to overtrading in chaos
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Strategy Combinations That Actually Exist (This Is Key)

Combination 1: RSI + BB + ADX Low

Strategy: Range Mean Reversion

Regime: Flat, low vol

Pairs: EURUSD, ES lunch

ArchAngelX: Classic grid profit engine

Combination 2: EMA + ADX High + RSI Pullback

Strategy: Trend Continuation

Regime: Strong trend

Pairs: NQ, ES

ArchAngelX: Shallow grid or single-entry sequences

Combination 3: BB Avoid Extreme + EMA Trend

Strategy: Trend Protection
Regime: Momentum
ArchAngelX: Defensive mode, capital preservation

Combination 4: ATR Scaling + RSI

Strategy: Adaptive Mean Reversion
Regime: Changing volatility
ArchAngelX: Dynamic grids

Why ArchAngelX Feels Confusing (But Isn't)

Because it lets you:

- Combine **conflicting strategies**
- On **different timeframes**
- With **grid execution**

If you do not explicitly define:

- “I am running a mean reversion strategy in a low-ADX regime”
you will accidentally deploy:
 - Mean reversion entries
 - In trending markets
 - With grid scaling
That is how accounts die.
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Mental Model You Must Adopt

Think in layers:

1. **Regime Detector**
(ADX + ATR)
2. **Strategy Selector**
 - Mean reversion OR trend following
3. **Entry Timing**
(RSI / BB)
4. **Execution Engine**
(Grid, lot scaling, TP logic)

ArchAngelX is layer 3 and 4.

You are responsible for layer 1 and 2.